Union Budget 2026–27

India’s Policy Response in a Slowing Global Economy (IIM-Level Presentation)

S1 — Union Budget 2026–27

Contextualising the Budget

- **Total Budget Size:** ₹48+ lakh crore, presented amid global economic slowdown and geopolitical uncertainty.
- **Fiscal Deficit Target:** ~4.3% of GDP, signalling commitment to fiscal consolidation.
- **Public Capital Expenditure:** ₹12.2 lakh crore, continuing India’s capex-led growth strategy.
- **Core Message:** While major economies face stagnation, India positions itself as a stable, fast-growing economy.

S2 — What is the Union Budget? Fund Size & Distribution

- The Union Budget outlines how the government **raises and spends resources** to manage growth and stability.
- **Total Expenditure:** ₹48+ lakh crore
- **Broad Distribution:**
- Infrastructure & Transport: **≈25%**
- Defence & Security: **≈13%**
- Social Sector (Health, Education, Welfare): **≈20%**
- Agriculture & Rural Economy: **≈10%**
- Interest Payments & Pensions: **≈20%**
- Allocation reflects priority to growth assets rather than consumption subsidies.

S3 — Why Budget 2026 Matters: Core Philosophy

- Global growth remains subdued (US & EU growth <2%), while India targets **6.5–7% GDP growth**.
- Budget focuses on **domestic demand resilience** through infrastructure and employment generation.
- Emphasises long-term productivity instead of short-term populist measures.
- Reinforces India’s image as a **stable investment destination** in a volatile global environment.

S4 — Infrastructure Push: Anchoring Growth

- **Total Capex:** ₹12.2 lakh crore (≈25% of total expenditure).
- **Railways Allocation:** ₹3+ lakh crore for capacity expansion and modernisation.
- **Major Economic Corridors:**
- Mumbai–Pune (financial–industrial belt)
- Delhi–Varanasi (economic + religious corridor)
- Chennai–Bengaluru (manufacturing & IT hubs)
- Hyderabad–Bengaluru (startup & aerospace clusters)
- Objective: Reduce logistics cost from **13–14% of GDP to below 8%**.

S5 — Foreign Travel & Overseas Spending Control

- Overseas travel expenditure exceeded **$30 billion annually**, rising sharply post-pandemic.
- **LRS tightening** on luxury foreign tour packages and high-value remittances.
- Targeted reduction of **5–7% in discretionary forex outflows**.
- Major outbound destinations impacted: Europe, Maldives, Thailand, Singapore.
- Policy supports rupee stability and current account management.

S6 — Domestic Tourism & Trekking Push (Specific Locations)

- **Allocation:** ₹5,000+ crore focused on adventure and eco-tourism.
- Identified trekking & eco-tourism circuits:
- **Uttarakhand:** Kedarkantha, Roopkund, Valley of Flowers
- **Himachal Pradesh:** Triund, Hampta Pass, Spiti Valley
- **Jammu & Kashmir:** Great Lakes Trek, Gurez Valley
- **Western Ghats (Kerala & Karnataka):** Silent Valley (Kerala), Kudremukh (Karnataka)
- **Tamil Nadu (Western & Eastern Ghats):** Nilgiris–Mukkurthi National Park trekking routes, Kodaikanal–Palani Hills trails, Meghamalai (High Wavy Mountains)
- Focus on trail safety, eco-lodges, last-mile road connectivity, and local guide training.
- Expected employment: **3–5 lakh jobs**, mainly in hill and rural regions, including southern states like Tamil Nadu.

S7 — Electric Vehicles & Green Mobility

- EV charging infrastructure planned across **100+ cities**.
- Focus cities: Delhi, Bengaluru, Mumbai, Pune, Hyderabad.
- National target: **30% EV adoption by 2030**.
- Transport sector contributes **~14% of India's emissions**, making EVs a climate priority.
- Budget links green mobility with urban air quality improvement.

S8 — Gold & Silver Import Duty Rationalisation

- India imports **700–800 tonnes of gold annually**, mainly for consumption and savings.
- Precious metals form **7–8% of total imports**, impacting the current account deficit.
- Duty rationalisation discourages speculative imports.
- Key import gateways: Mumbai, Ahmedabad, Chennai.
- Policy nudges households towards financial assets.

S9 — Fuel & Energy Pricing Strategy

- Petrol & diesel excise adjustments within **₹1–2 per litre** range to manage inflation.
- Strategic Petroleum Reserves expanded by **6–8 million tonnes**.
- Renewable energy allocation exceeds **₹35,000 crore**.
- SPR locations: Visakhapatnam (AP), Mangaluru (Karnataka).
- Balances inflation control with long-term energy security.

S10 — Defence & Border Infrastructure

- **Defence Allocation:** ₹6.2+ lakh crore, among the highest globally.
- Capital expenditure accounts for **28–30%**, supporting modernisation.
- Border infrastructure spend: **₹20,000+ crore**.
- Focus regions: Ladakh, Arunachal Pradesh, Rajasthan.
- Enhances security amid regional geopolitical tensions.

S11 — Tech-Led Governance Expansion

- **Digital Public Infrastructure Allocation:** ₹15,000+ crore.
- Expansion of Aadhaar-based services, DigiLocker, and ONDC.
- Digital payments account for **75%+ of urban transactions**.
- Technology hubs: Bengaluru, Hyderabad, Pune.
- DPI improves efficiency, transparency, and formalisation.

S12 — Education & Skill Development

- **Education Budget:** ₹1.2 lakh crore.
- **AI & advanced skills funding:** ₹8,000+ crore.
- Target: **1 crore youth** trained over three years.
- Institutions expanded in Tier-2 & Tier-3 cities.
- Aligns workforce skills with future industry needs.

S13 — Agriculture & Rural Economy

- **Agriculture Allocation:** ₹1.6+ lakh crore.
- MSP procurement increased by **8–10%**.
- Micro-irrigation & water management: **₹25,000 crore**.
- Key states: Punjab, Haryana, Uttar Pradesh, Maharashtra, Telangana.
- Strengthens rural demand during global slowdown.

S14 — Housing & Urban Development

- **Affordable Housing Allocation:** ₹80,000+ crore.
- PMAY target: **2 crore additional homes**.
- Urban transport & metro projects: **₹40,000 crore**.
- Focus cities: Mumbai, Delhi NCR, Ahmedabad, Kochi.
- Housing boosts employment and urban productivity.

S15 — Healthcare & Social Infrastructure

- **Health Budget:** ₹98,000+ crore.
- Ayushman Bharat coverage expanded to **55+ crore citizens**.
- **25+ new medical colleges** announced.
- Priority regions: Aspirational districts in North & East India.
- Health investment improves long-term labour productivity.

S16 — Startups, MSMEs & Innovation

- **MSME credit guarantee:** ₹9 lakh crore.
- Fund of Funds for startups: **₹10,000+ crore**.
- Startup hubs: Bengaluru, Mumbai, Delhi NCR, Chennai.
- Supports job creation and innovation-led growth.

S17 — Cigarette, Tobacco & Select Product Tax Changes

- Cigarette & tobacco excise increased by **10–15%**.
- Luxury and sin goods face higher taxation.
- Essential goods protected from price shocks.
- Policy supports public health and revenue mobilisation.

S18 — Imports & Exports: Trade Strategy

- Export growth target: **8–10%** despite global slowdown.
- Focus sectors: electronics, pharmaceuticals, engineering goods.
- Import moderation in gold and energy.
- Key ports: Mumbai, Chennai, Visakhapatnam, Mundra.
- Aims to stabilise the current account.

S19 — Tamil Nadu Focus: Budget 2026 Announcements

- **Infrastructure & Transport:** Chennai–Bengaluru corridor, port expansion at Chennai & Tuticorin, metro extensions in Chennai, Coimbatore, Madurai.
- **Tourism & Trekking:** Nilgiris–Mukkurthi NP, Kodaikanal–Palani Hills, Meghamalai; employment generation 15–20k.
- **Green Mobility:** EV charging stations in Chennai, Coimbatore, Madurai; EV adoption incentives.
- **Education & Skills:** AI training & ITI upskilling programs in Coimbatore & Salem.
- **Healthcare:** Strengthening district hospitals in North TN, new medical college in Tirunelveli.
- **Agriculture:** MSP support for paddy & sugarcane; irrigation projects in Cauvery delta.
- **Housing:** Affordable housing projects in Chennai, Coimbatore.
- **Digital Governance:** ONDC adoption in TN cities, digital payments expansion.
- **Tobacco & Sin Taxes:** Higher excise impacts TN retail and local producers.
- **Energy & Fuel:** Participation in national SPR; local renewable energy projects.

S20 — Conclusion

- Budget 2026 reflects confidence in India’s economic resilience.
- Strong capex offsets global demand weakness.
- Combines stability, growth, and long-term reforms.
- Tamil Nadu receives targeted allocations across multiple sectors.

Final Message:
In a slowing global economy, Union Budget 2026 positions India, and Tamil Nadu, as stable, growth-oriented, and future-ready.